

Dr Reddys Laboratories Ltd

Investment Rating : Excellent

Company Overview

Website	https://www.drreddys.com/
Sector	nan
Market Cap	2,441,803.28 Cr
PE Ratio	11.73
PB Ratio	10.19
Dividend Yield	0.09 %

Financial Quality

ROE	21.4
ROCE	26.5
CFO Quality	High Quality
FCF CAGR	nan%
Capital Pattern	Excellent

Capital Allocation

Capital Score	100.0
Reinvestment	Growth Focused
Debt Trend	Increasing Debt
Leverage	Low

Business Overview

Dr. Reddy's Laboratories Ltd is a leading India-based pharmaceutical company which offers a portfolio of products and services, including Active Pharmaceutical Ingredients (APIs), Custom Pharmaceutical services (CPS), generics, biosimilars and differentiated formulations.

Strengths

Strong free cash flow generation over 5 years signals healthy business fundamentals.
Operating profit margin above 25% indicates strong pricing power and cost discipline.
Net profit compounding above 20% over 5 years creates significant shareholder value.
Very high interest coverage ratio reflects negligible financial stress from debt servicing.
Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.

Risks

Rising debt over the past 3 years suggests increasing financial leverage risk.